Product Lifecycle and Innovation (Lecture 02)

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Product Lifecycle and Innovation



Product Lifecycle

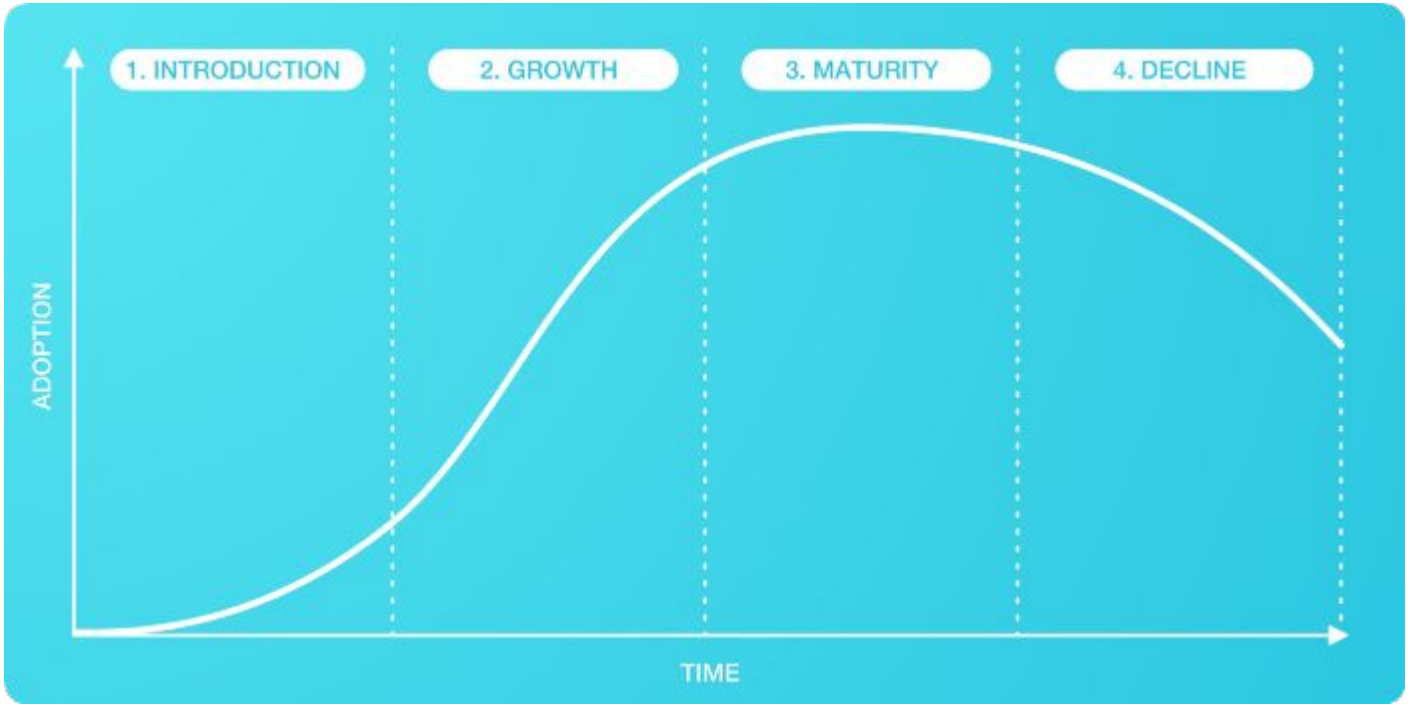
- A product life cycle is the length of time from a product first being introduced to consumers until it is removed from the market.
- A product's life cycle is usually broken down into four stages; introduction, growth, maturity, and decline.
- Product life cycles are used by management and marketing professionals to help determine advertising schedules, price points, expansion to new product markets, packaging redesigns, and more.

Product Lifecycle

- These strategic methods of supporting a product are known as product lifecycle management.
- They can also help determine when newer products are ready to push older ones from the market.

Product Lifecycle Stages

- The stages which a product cycles through during its lifespan are: Development, Introduction, Growth, Maturity and Decline.



Product Lifecycle Stages...

Stage 0. Development

- The Product development stage is the first part of the Product Life Cycle.
- This stage is not only about building the product, it also includes carrying out the discovery work needed to research, testing and validate assumptions.
- Market research, benchmarking, and competitor analysis are the main focus for research at this stage.
  - These will help give an idea of the potential growth for the product, and support building a business case to validate the product.

Product Lifecycle Stages…

Stage 1. Introduction

- This is the stage in which the product is initially promoted.
- Public awareness is very important to the success of any market product.
- If people don't know about your product how will they know to go out and get it?
- Two different strategies you can use to introduce your product to consumers.
  - Penetration strategy
  - Skimming strategy,

Both are focused on how you price your product.

Product Lifecycle Stages…

Introduction strategies:

(i) Skimming

- Skimming strategy involves setting prices very high initially and then gradually reducing them over time.
- This is a good strategy to use if there are very few competitors for your product.
- Profits are high with this strategy but there is also a great deal of risk.
  - If people don't want to pay high prices you may lose out.

Product Lifecycle Stages…

Introduction strategies:

(ii)Penetration

- Penetration strategy involves setting your prices very low at the launch and gradually increase them.
- This is a good strategy to use if there are many competitors who control a large portion of the market.
- Profits are not a concern under this strategy.
  - The most important thing is to get your product known, and then you can focus on making money at a later time.

Product Lifecycle Stages...

Stage 2. Growth

- The Growth stage is where the market share of your product starts to grow.
- Often at this stage a large amount of money is spent on sales efforts and marketing.
- You want to focus your advertising campaigns at your target audience and existing customers, and sell the benefits of your products to them.
- There are several different routes you can take to advertise your product and what you choose will depend on your product, industry and advertising budget.

Product Lifecycle Stages...

3. Growth...

- If you are in a business to consumer (B2C) market, your marketing and sales strategy are likely to be very different to a business to business (B2B) market.
- When looking to reach consumers, social media platforms such as Facebook, Instagram, Youtube and Twitter provide targeted adverts.
- Other digital media options include using blogs or news websites to promote your product.
- You can also use more traditional advertising methods such as TV, radio, magazine or newspaper ads.
- The more traditional options are likely to be more costly than the digital ones.

Product Lifecycle Stages...

Stage 2. Growth...

- When looking to reach B2B customers, using professional platforms such as LinkedIn would be more suitable.
- Furthermore, when looking into B2B you can use brochures, sales decks and promotional videos to explain and sell your product.
- The best and cheapest way for your product to be advertised is through word-of-mouth, as promoted by your customers; this can only be done when your customers trust and enjoy your product.
  - This is true for both B2C and B2B products.
- When you are successful with your marketing and advertising strategies then you will see an increase in sales and in the number of users.
- After a period of a continuous increase in sales, eventually your share of the market will stabilise.

Product Lifecycle Stages...

Stage 3. Maturity

- At Maturity stage your market share will gradually begin to stabilise.
- When sales start to stabilise you will need to go back to the development stage.
- This involves analysing your current product and sales performance, exploring what can be improved, and what new opportunities could be available.
- This allows you to focus on innovation, finding ways to introduce new features to the product, cater to new market segments, or expand into new markets.

Product Lifecycle Stages…

Stage 3. Maturity…

- The key to surviving this stage is to differentiate your product in the market and to innovate in order to help your company stay competitive.
- If you do not restart the product life cycle here, you are more than likely to reach the decline stage.

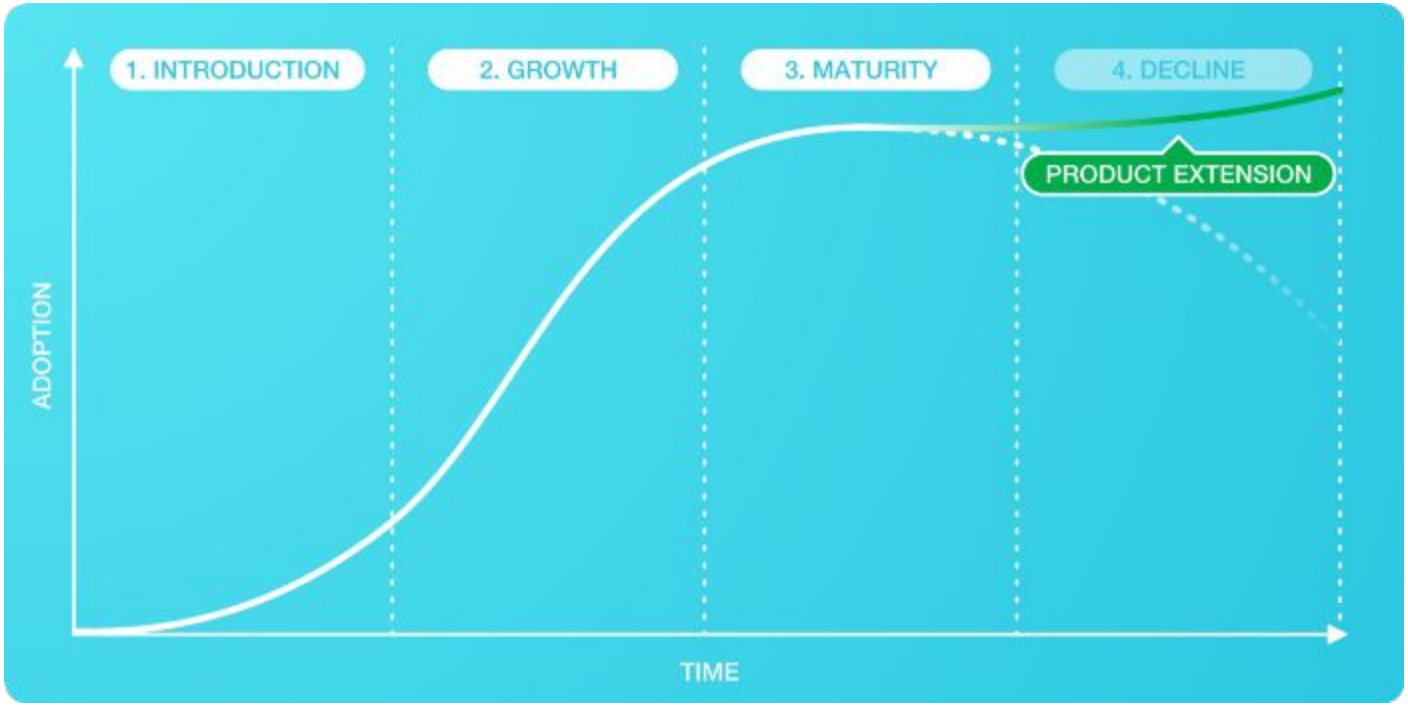
Product Lifecycle Stages...

Stage 4. Decline

- This is the stage where sales of your product begin to fall.
- Either everyone who wants it has bought your product or new, more innovative products have been created that replace yours.
- To stay competitive, and keep your market share, you will need to reassess your existing product and adapt or iterate its features.
- Ideally between the maturity and decline stage you would restart the product life cycle, to continue the success of your business.
- This is called **Product Extension** in the product lifecycle model

Product Lifecycle Stages…

Stage 4. Decline… Product Extension

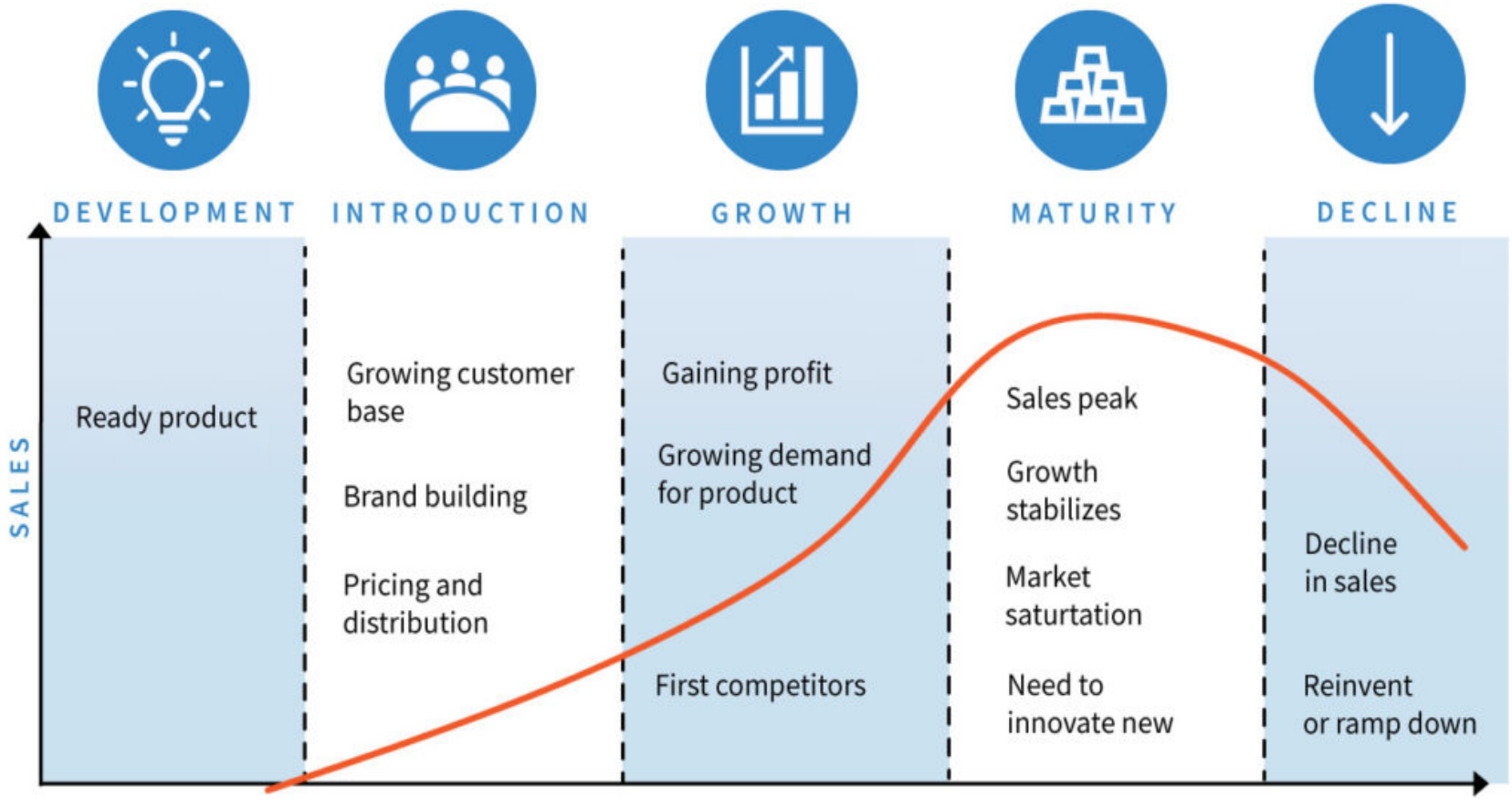


Product Lifecycle Stages…

Stage 4. Decline…

- When a product is in decline, companies may decide to withdraw completely from the market.
- This is likely to be because it's too expensive to innovate & reinvent the product, or competitors have taken so much market share it's impossible to compete.
- For an example you can look at the many startups who have closed after several years of operation, losing the market share to larger firms.

Product Lifecycle Stages...

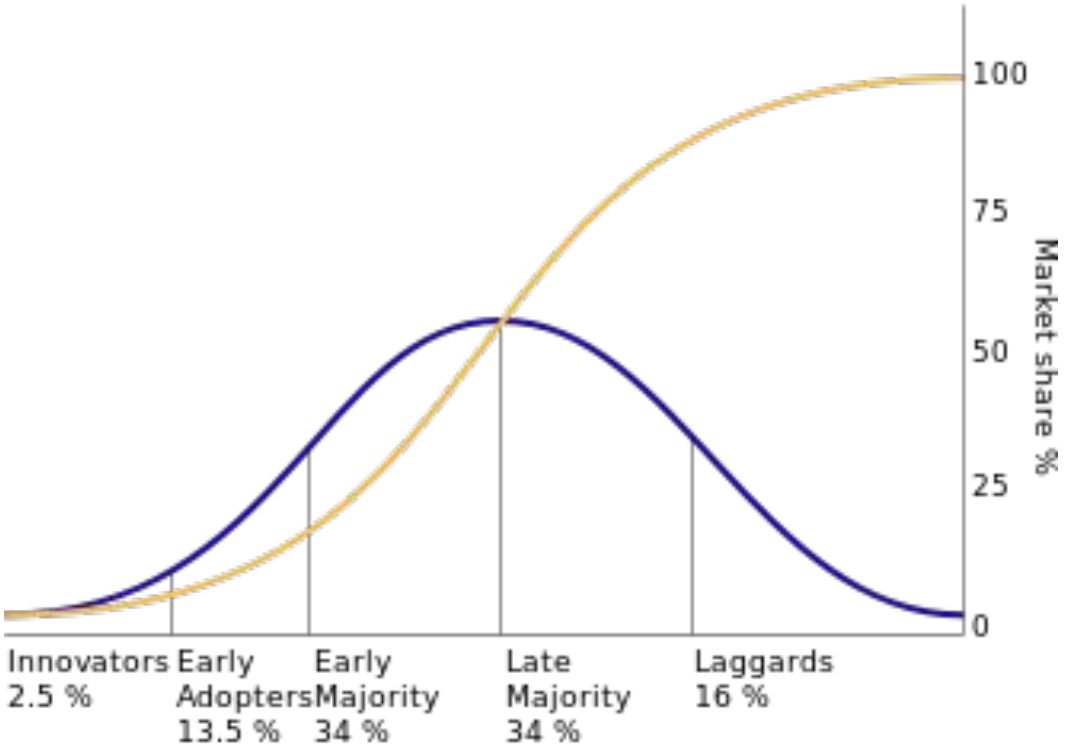


Innovation-Adoption Curve

- Research by Everett Rogers* showed that not everyone will buy into an innovative new product when it is first introduced to the market.
- His work is now a “classical” piece of business insight and is a useful tool for forecasting new product demand, especially when the product is radically different from anything else that exists on the market.
- Rogers segments customers into 5 types based on how they respond to innovative new products.
  - Innovators
  - Early Adopters
  - Early Majority
  - Late Majority
  - Laggards

Innovation-Adoption Curve

- Diffusion of innovations is a theory that seeks to explain how, why, and at what rate new ideas and technology spread.



Customer Segments on the Innovation-Adoption Curve

Innovators (2.5%)

- Innovators are the first individuals to adopt an innovation.
- Innovators are willing to take risks, youngest in age, have the highest incomes and greatest awareness and understanding of scientific developments and relationships with other innovators.
- Because they are used to innovation culture and have financial means, this segment of customers is more likely to take a risk on buying an innovative new product when it hits the market.

Customer Segments on the Innovation-Adoption Curve

Early Adopters (13.5%)

- This is the second fastest segment of customers to adopt an innovation.
- These customers have the highest influence among the other adopter segments.
- Early adopters are typically younger in age, have a higher income, advanced education, and wider social networks than late adopters.
- They are more discerning about their buying decisions than innovators and use their purchases to help enhance their social standing amongst their peers.

Customer Segments on the Innovation-Adoption Curve

Early Majority (34%)

- Early majority customers buy innovative products later than early adopters.

- Rogers identified that they have above average income and social connection with early adopters, but are usually not influencers or opinion leaders.

Customer Segments on the Innovation-Adoption Curve

Late Majority (34%)

- People in this segment are a little behind the curve when it comes to buying innovative new products.
- They are cautious and risk averse when it comes to innovation and are not too interested in social influence or trends.

Customer Segments on the Innovation-Adoption Curve

Laggards (16%)

- Laggards are the last customers to adopt an innovation. They tend to dislike change and are often seen as traditionalists.

Diffusion of Innovation Element

- Rogers proposes that five main elements influence the spread of a new idea:
  - Innovation itself,
  - Adopters,
  - Communication channels,
  - Time,
  - Social system.

Diffusion of Innovation Element

Element	Definition
Innovation	Innovation is a broad category, relative to the current knowledge of the analyzed unit. Any idea, practice, or object that is perceived as new by an individual or other unit of adoption could be considered an innovation available for study.
Adopters	Adopters are the minimal unit of analysis. In most studies, adopters are individuals, but can also be organizations (businesses, schools, hospitals, etc.), clusters within social networks, or countries.
Communication channels	Diffusion, by definition, takes place among people or organizations. Communication channels allow the transfer of information from one unit to the other. Communication patterns or capabilities must be established between parties as a minimum for diffusion to occur.
Time	The passage of time is necessary for innovations to be adopted; they are rarely adopted instantaneously. In fact, in the Ryan and Gross (1943) study on hybrid corn adoption, adoption occurred over more than ten years, and most farmers only dedicated a fraction on their fields to the new corn in the first years after adoption.
Social system	The social system is the combination of external influences (mass media, surfactants, organizational or governmental mandates) and internal influences (strong and weak social relationships, distance from opinion leaders). There are many roles in a social system, and their combination represents the total influences on a potential adopter.